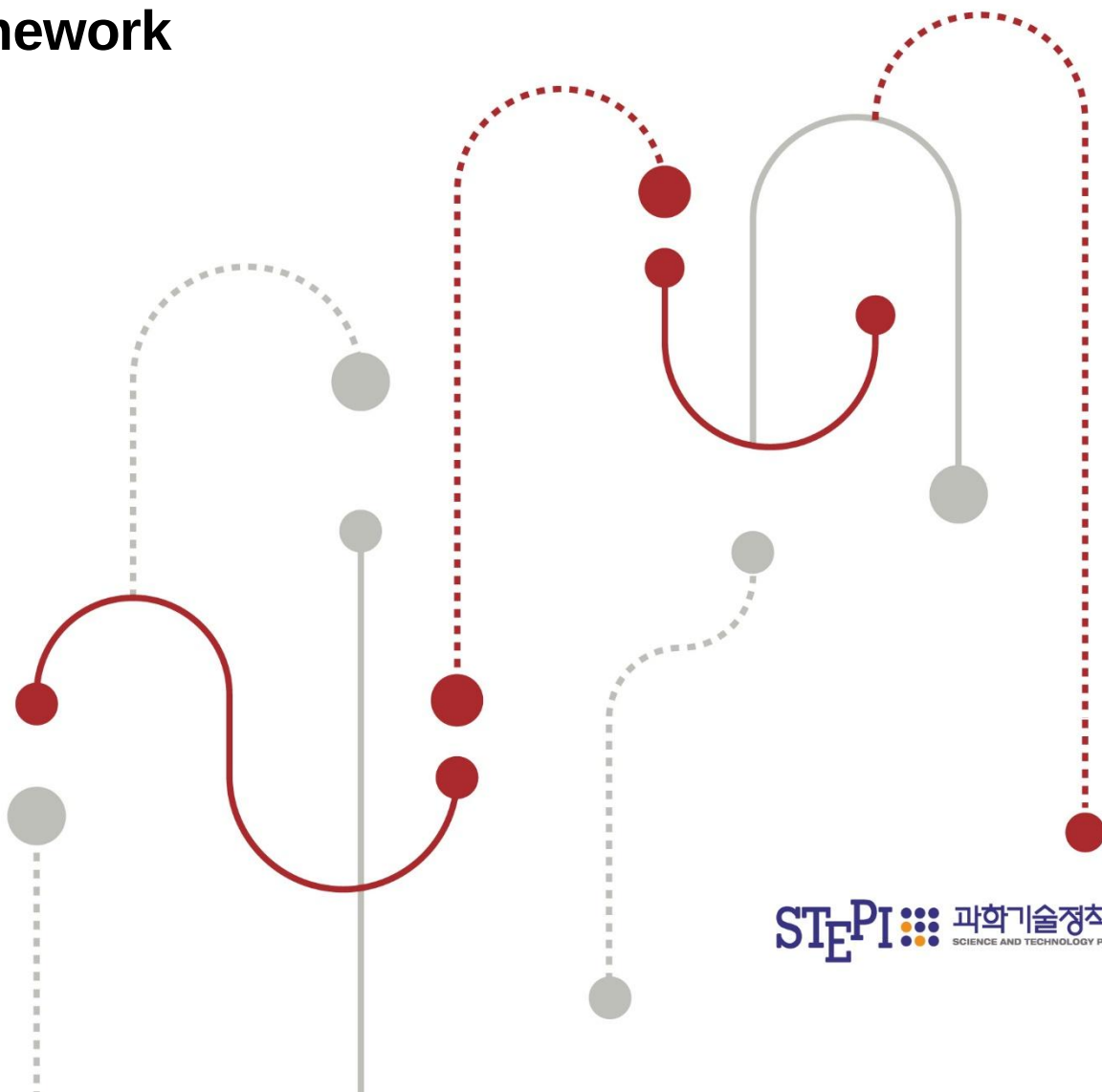


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SUMMARY

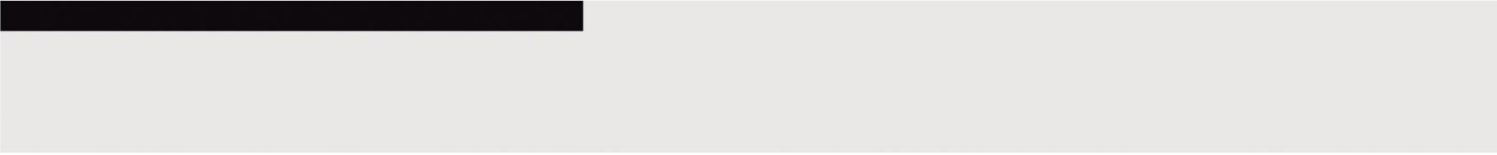
Policy Measures to Improve Innovation Special Zones for Advancing Supra-Regional Mega Special Zones under the Five-Pole, Three-Special-Region Framework

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The launch of the trans-regional “Mega Special Zone” (Mega-Teukgu) under the Lee Jae-myung administration’s “Five Growth Poles and Three Special Regions (5-Pole, 3-Special)” strategy marks a turning point at which Korea’s special zone policy is shifting from a small-scale, dispersed model toward a wide-area, trans-regional, and industry-concentrated one. Because the Mega Special Zone is designed as a higher-tier platform that consolidates and coordinates the existing zones, diagnosing the structural limits of the current system is a prerequisite for its design.

Although special zones have proliferated to 129 (2,085 cumulative designations), their performance has fallen short across three layers-institutional design, support, and institutionalization. In institutional terms, 39 of the 129 zones (30.2%) are “ghost zones” with no record of designation or operation, and the absence of inter-ministerial coordination has produced overlapping designations. In terms of support, only 110 firms-just 7.8% of the 1,337 eligible firms-received corporate income tax reductions, and the reduction period is misaligned with the long break-even horizon of R&D-intensive industries. In terms of institutionalization, only three statutory amendments resulted from demonstration-based regulatory improvements, so proof-of-concept results have rarely progressed to institutionalization or commercialization, leaving the “valley of death” unresolved.

Analyzing the two representative innovation zones-the Research and Development Special Zone and the Regulatory-Free Special Zone-through Actor-Centered Institutionalism (ACI),



the study finds that the decline in effectiveness stems not from a failure of the zone system itself but from the failure of zone outcomes, such as demonstrations, to diffuse into institutionalization and commercialization. Corresponding to the three analytical layers of ACI, the study sets out three prerequisites, each of which connects to a matching policy task.

First, [integrated governance] the challenge lies in (re)designing the special zone system rather than merely preserving it. Accordingly, Policy Task 1 establishes integrated governance and enhances the effectiveness of the support system: an inter-ministerial designation-and-coordination consultation body in the short term and a whole-of-government coordination body (tentatively, a National Special Zone Committee) in the mid-to-long term-adopting, among three alternatives, a “hybrid integrated control tower” that repurposes the presidentially chaired Regulatory Rationalization Committee as the optimal option; consolidating common cross-ministerial standards and the statutory framework, with a (tentative) Mega Special Zone Special Act stipulating its precedence over and non-duplication with existing zone laws; reclassifying similar zones into three types (technology- commercialization, regulatory-innovation, and industry-fostering); and redesigning fiscal and tax support along industry-tailored, wide-area-linked, and performance- linked lines.

Second, [collaborative governance] regulatory special treatment should serve as the central axis of Mega Special Zone design. Accordingly, Policy Task 2 builds collaborative governance and streamlines procedures: introducing the Functional Urban Area (FUA) concept to build a trans-regional cooperation system that transcends administrative boundaries (e.g., a Chungnam-Daejeon-Sejong semiconductor zone); deploying a dedicated officer for each of the five poles and three special regions; establishing a unified cross-ministerial online intake portal that consolidates the application and consultation process into a single channel; and redefining the roles and responsibilities of central government, local governments, support agencies, and the private sector.

Third, [demonstration-institutionalization linkage] the coherence of support design matters more than the sheer scale of fiscal input. Accordingly, Policy Task 3 strengthens the demonstration-to-institutionalization linkage and expands commercialization support: establishing a new safety-management body for emerging industries so that certified



demonstration results feed swiftly into statutory amendment-linked with the Office for Government Policy Coordination's "statutory-maintenance request system" so as to operate early without separate legislation; and providing a "linked support system for zone-participating firms" (performance monitoring and stage-by-stage financing, workforce, and market-access support), together with a wide-area cooperative-project support scheme and joint wide-area infrastructure.

Ultimately, the Mega Special Zone should be designed as a higher-tier platform that links the existing special zones at the trans-regional scale and integrates regulatory special treatment, demonstration, and commercialization. Above all, the enactment of the Mega Special Zone Special Act must be accompanied by the consolidation and restructuring of the existing zones, so that the Mega Special Zone does not become merely "the 130th special zone."